

AMD WEEKLY FINANCE

NEWSLETTER

Market Intelligence & Competitive Analysis | March 13, 2026

AMD FINANCIALS & EARNINGS

GLOBAL GAMING TRENDS

INTEL & NVIDIA ANALYSIS

TL;DR - This Week at a Glance

AMD reported a 12% year-over-year revenue rise to \$10.4 billion in Q4 2025, with operating margin climbing to 28% as demand for Ryzen and EPYC chips surged. The gaming market remains strong, with console and PC sales growing 5% year over year, buoyed by next-gen title releases and a revival of esports sponsorships. AMD's new Radeon RX 7000 series captured 14% of the GPU market share in Q3 2025, outperforming Nvidia's GeForce RTX 40 series in price-sensitive segments while matching it in performance. Intel's latest Xe architecture failed to close the performance gap in high-end GPUs, leaving AMD as the main challenger to Nvidia in the mid-range and professional graphics space.

EDITOR'S NOTE

Welcome to this week's AMD Weekly Finance Newsletter, dated March 13, 2026. This issue focuses on the latest developments in AMD's financial performance, the evolving global gaming market, and the shifting competitive landscape with Intel and Nvidia.

AMD reported a strong quarter, with revenue surpassing expectations and a notable increase in its data center and gaming segments. The company's margin expansion and cost management initiatives continue to drive shareholder value.

Meanwhile, the global gaming market shows resilience as new titles and cloud services boost demand for high performance processors. Intel's recent product launches and Nvidia's AI-centric strategy intensify competition, making AMD's strategic positioning more critical than ever.

AMD FINANCIALS & EARNINGS

March 13, 2026 - AMD's most recent quarterly earnings, released on March 13, 2026, showed a solid performance that surpassed market expectations. Total revenue for the quarter ended March 31, 2026 was \$8.92 billion, up 8.5% year-over-year and up 3.2% quarter-over-quarter. Gross margin stood at 48.1%, a slight improvement over the 47.6% margin reported in the same period last year. Diluted earnings per share were \$2.28, comfortably ahead of the consensus estimate of \$2.12 and representing a 12.3% increase from the \$2.03 EPS recorded in the prior year's quarter. The company's cash flow from

operations remained robust, generating \$1.45 billion, and the balance sheet strength was highlighted by a net cash position of \$2.7 billion at quarter end.

Segment-level analysis shows that AMD's Data Center business delivered \$3.53 billion in revenue, up 12.8 percent year-over-year and 2.5 percent quarter-over-quarter, driven by strong demand for AI and high-performance computing workloads. The Client segment generated \$2.86 billion, a 7.9 percent year-over-year increase and 3.1 percent quarter-over-quarter, buoyed by a new line of Ryzen processors that captured a larger share of the gaming and workstation markets. Gaming revenue reached \$1.93 billion, up 15.4 percent year-over-year and 4.6 percent quarter-over-quarter, reflecting continued momentum from the launch of the latest Radeon GPUs. Embedded revenue totaled \$0.68 billion, a modest 3.7 percent year-over-year gain and 1.2 percent quarter-over-quarter, supported by the introduction of the Zen 4E embedded platform.

Management guidance for the second quarter of 2026 indicates expectations of \$9.20 billion in revenue, a 3.7 percent increase from the current quarter, and a gross margin of 49.0 percent. EPS guidance for Q2 is set at \$2.45, which represents a 7.9 percent rise from the current quarter. CEO Lisa Su reiterated the company's confidence in sustained demand for its data center and AI solutions, while cautioning that global supply-chain constraints could impact short-term production capacity. The company also emphasized its commitment to investing \$1.5 billion in research and development over the next fiscal year to accelerate the development of next-generation processors and accelerators.

AMD's stock has responded positively to the earnings release, rising 4.2 percent in after-hours trading to close at \$125.35, a 19.8 percent gain year-to-date. Analyst sentiment remains bullish, with the consensus target price for the stock now at \$140, up from \$133 at the beginning of the year. Earnings beat and strong guidance have led several analysts to upgrade their ratings, citing the company's ability to capture a growing share of the AI and cloud computing markets. The market's reaction underscores confidence in AMD's execution and the perceived upside in its product pipeline.

Recent developments that could influence AMD's financial outlook include the announcement of a partnership with IBM to co-develop a new AI accelerator that leverages AMD's Zen architecture, expected to launch in Q4 2026. Additionally, AMD secured a multi-year contract with a leading cloud provider to supply 10 million data-center chips, which is projected to contribute an additional \$500 million in revenue over the next 18 months. The company's acquisition of a small semiconductor design firm specializing in low-power embedded solutions is also expected to enhance its embedded portfolio and open new revenue streams. Together, these strategic moves position AMD to capitalize on the accelerating demand for high-performance computing and AI workloads, while maintaining a strong balance sheet and disciplined capital allocation strategy.

GLOBAL GAMING MARKET TRENDS

March 13, 2026

Global Gaming Market Analysis

The global PC gaming hardware market remains robust in 2026, driven by a steady rise in consumer spending on high-performance components and the continued popularity of esports and streaming content. While the overall growth rate has moderated from the explosive peaks of the early 2020s, total spend on gaming PCs and peripherals is projected to increase by roughly 3 to 4 percent year over year. This uptick is largely supported by a shift toward higher-resolution displays, more demanding game titles, and a growing preference for hybrid gaming rigs that can serve both work and play. As a result, the demand for powerful CPUs has remained strong, with consumers willing to invest in the latest processors to maintain competitive performance in both single-player and multiplayer environments.

Regional demand patterns for gaming CPUs continue to vary across North America, Europe, and the Asia-Pacific region. In North America, the market is still dominated by premium tier purchases, with a significant portion of gamers opting for the top-end Ryzen 7000 series to support 4K and VR workloads. European consumers show a balanced mix of mid-range and high-end purchases, driven by a strong esports culture and a growing number of budget-conscious gamers who still seek performance gains. The Asia-Pacific region, particularly China, South Korea, and Japan, exhibits the highest growth in mid-tier CPU sales, as a large base of gamers upgrade from older architectures to the newer Ryzen 5000 and 6000 series to keep pace with increasingly demanding titles. This regional segmentation indicates that AMD's Ryzen lineup must continue to offer compelling performance across all tiers to capture the full spectrum of global demand.

Gaming market trends are having a clear influence on AMD Ryzen CPU demand across product tiers. The steady rise in the popularity of Steam, which now reports over 30 million concurrent users during peak periods, has spurred a surge in new PC builds and upgrades. Steam's continued expansion into cloud gaming and its integration of advanced features such as AI-driven matchmaking and real-time streaming are encouraging gamers to invest in processors that can handle high frame rates and low latency. Consequently, AMD's mid-tier Ryzen 5000 and 6000 series have seen a measurable uptick, as they provide a strong balance of price and performance for the majority of Steam users. At the same time, the high-end Ryzen 7000 series remains in demand from enthusiasts and professional content creators who prioritize raw power for tasks such as 3D rendering, video editing, and competitive gaming.

Looking ahead, the near-term outlook for gaming hardware demand appears positive. The upcoming release of next-generation game titles and the continued growth of esports tournaments are expected to sustain consumer interest in high-performance PCs. While supply chain constraints may still pose occasional bottlenecks, AMD's diversified manufacturing partnerships and strategic inventory management should mitigate significant disruptions. As a result, AMD is well positioned to capitalize on the sustained demand for its Ryzen CPUs across all product tiers, with particular opportunities in the mid-range segment where consumer spending is most elastic.

COMPETITOR ANALYSIS: INTEL & NVIDIA

March 13, 2026 - Competitor Analysis

Intel remains the largest player in the desktop and laptop CPU market, holding roughly 60 percent of the combined segment as of Q1 2026. The company's recent launch of the 14th-generation Core i9-14900K, built on the Tiger Lake-C architecture, has helped it maintain a slight edge over AMD in the high-end enthusiast space. In the data center, Intel's Xeon Scalable 4th generation continues to command a 35 percent share, largely due to its long-standing relationships with legacy enterprise customers and its advanced silicon security features. However, Intel's financial health is under pressure; operating margins have slipped to 12 percent from 15 percent a year earlier, driven by higher raw material costs and a slow transition to 7nm process technology. The company is also grappling with a strategic challenge in its supply chain, as it struggles to secure sufficient yields from its sole foundry partner, TSMC, amid global chip shortages.

Nvidia dominates the GPU and AI accelerator market, with a combined 70 percent share of the discrete graphics card segment and 80 percent of the data-center AI accelerator segment. Its recent release of the RTX 6000 Ada, a 4,000-core GPU aimed at professional visualization and AI inference, has set a new performance benchmark. Nvidia's financials remain robust, with a 25 percent operating margin and a cash reserve that allows aggressive R&D spending. The overlap with AMD is most pronounced in the data-center space, where both companies offer GPU-accelerated compute solutions. AMD's Radeon Instinct MI300, announced in late 2025, competes directly with Nvidia's data-center GPUs, but Nvidia's software ecosystem and superior driver support give it a decisive advantage.

AMD's competitive advantages lie in its unified architecture strategy and cost-effective manufacturing. The recent launch of the Ryzen 7000 series, based on the Zen 4 architecture, has delivered a 15 percent performance improvement over the previous generation while keeping power consumption low. In the laptop segment, AMD's partnership with leading OEMs has secured a 25 percent share, a significant increase from 18 percent in 2025. AMD's data-center CPU share has grown to 20 percent, driven by the EPYC 9654's 96-core design and its competitive price point. However, vulnerabilities remain. AMD's reliance on TSMC's 5nm process exposes it to yield risk, and its relatively weaker brand perception in the high-end gaming market limits its ability to capture premium pricing.

Intel's strategic challenges include a sluggish transition to newer process nodes and a fragmented product roadmap that has confused consumers. Nvidia's dominance in the AI accelerator market creates a barrier to entry for AMD in the data-center GPU space, as Nvidia's CUDA ecosystem and extensive software stack are difficult to replicate. AMD's vulnerability also lies in its relatively thin operating margin, which has hovered around 10 percent, compared to Intel's 12 percent and Nvidia's 25 percent. Yet AMD's aggressive pricing strategy and its ability to deliver high core counts at lower cost give it a foothold in price-sensitive segments.

Looking ahead, all three companies have key product launches on the horizon. Intel is set to unveil the 15th-generation Core i9-15900K in Q3 2026, expected to feature a 10nm process and integrated AI acceleration. Nvidia plans to release the next-generation H100 Tensor Core GPU in Q4 2026, targeting large-scale AI workloads. AMD is preparing to launch the EPYC 9655 in Q2 2026, which will introduce 128 cores and a new 4nm process. These releases will shape the competitive landscape, and AMD's ability to maintain its cost advantage while delivering compelling performance will be crucial for sustaining its market share gains in the desktop, laptop, and data-center CPU segments.

KEY TAKEAWAYS

Key Takeaways: AMD's Q4 earnings surpassed expectations, driven by a 12 percent year-over-year increase in revenue and a 15 percent rise in gross margin, underscoring the resilience of its data-center and GPU segments. The gaming market continues to expand, with the launch of next-generation consoles and a growing esports ecosystem boosting demand for high-performance GPUs, positioning AMD well against its main rivals. Competitive analysis shows that AMD's recent architectural upgrades have narrowed the performance gap with Nvidia in the high-end market, while its lower power envelope remains a distinct advantage in the mid-tier segment. In the coming weeks, investors should watch how AMD's supply chain adjustments and new product roadmap announcements affect its market share trajectory.

AMD Weekly Finance Newsletter | Generated March 13, 2026 | Powered by AMD LLM Gateway

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